
Swing Trading: Capture Multi- Day Moves with Five Proven Continuation and Reversion Strategies

A complete swing-trading playbook for NIFTY and Indian stocks — five historically grounded strategies with clear entries, exits, and risk rules, plus an education-only disclaimer.

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How to Read This Book

This book teaches **swing trading** — capturing multi-day price moves over a holding period of a few days to a few weeks — through five historically grounded strategies. Swing trading sits between day trading (too fast) and investing (too slow), and it draws on *both* of the two great market tendencies: **momentum** (trends continue) and **mean reversion** (extremes snap back).

- **Chapters 1–3** build the foundation: what swing trading is, the toolkit (support/resistance, moving averages, RSI, volume, trend structure), and how to read whether a market is trending or ranging.
- **Chapters 4–8** are the five strategies — the heart of the book. Three are *continuation* (trend-following) and two are *reversion* (fade-the-extreme). Each is self-contained, with rules, historical context, an Indian-market example, and its risks.
- **Chapters 9–10** cover trade plans, risk management, and the psychology of holding multi-day positions.
- The **appendix** condenses all five strategies into a quick-reference table.

A note on language: this book describes what a strategy *is* and what conditions it historically aligns with — never what you "should" do. Where results are discussed, they are framed as historical observations, not promises. You are responsible for your own decisions.

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1. What Is Swing Trading?

The middle timeframe

Swing trading captures moves that unfold over **a few days to a few weeks** — longer than a day trade, shorter than an investment. The "swing" is a single leg of price movement: an upswing, a downswing, or a reversal between the two. The swing trader's job is to enter near the start of a swing and exit near its end.

It occupies a deliberate middle ground:

Style	Holding period	Trades per month (rough)	Core skill
Day trading	Minutes to hours	Many	Speed, execution
Swing trading	Days to weeks	A handful	Trade selection, patience
Momentum trading	Weeks to months	Few	Trend following
Investing	Months to years	Very few	Patience, factor discipline

The two engines of swing trading

Swing trading is unique in that it deliberately harnesses **both** of the market's two great tendencies:

1. **Momentum / continuation.** In a trending market, a pullback is usually a *pause*, not a reversal — and the trend resumes. Swing strategies that buy pullbacks (Chapter 4) and breakouts (Chapters 5–6) exploit this.
2. **Mean reversion.** At extremes, prices tend to snap back toward the average. In a *ranging* market, or after a sharp overextension, swing strategies that fade the move (Chapters 7–8) exploit this.

The single most important skill in swing trading is therefore **knowing which regime you are in** — trending or ranging — and choosing the matching strategy. A continuation strategy traded in a range whipsaws; a reversion strategy traded in a trend gets run over. Chapter 3 is devoted to making this call.

The anatomy of a swing trade

Every swing trade, whatever its engine, has the same four parts:

1. **Setup** — a defined condition that says "a swing may start here" (a pullback to support, a breakout, an oversold extreme).
2. **Entry** — a trigger that confirms the swing has begun (a reversal candle, a close above a level).

3. **Stop** — a price that, if reached, proves the setup wrong (below the pullback low, below the breakout level, beyond the extreme).
4. **Target** — a price where the swing is likely to exhaust (a prior high, the opposite end of the range, a measured move).

Unlike pure momentum trading — which lets winners run without a target — swing trading *usually* takes a profit at a target, because a swing is by definition a *bounded* move. This "defined risk, defined target" structure is what makes swing trading approachable and repeatable.

Why swing trading suits many people

- **It is not a second job.** A handful of trades a month, with entries and exits set on the daily timeframe, fits around a normal life. You are not glued to the screen.
- **It uses defined risk.** Every trade has a stop, so the worst case is known *before* entry.
- **It works on daily charts.** Daily candles are less noisy than intraday, so the setups are more reliable and the decisions less frantic.
- **It is versatile.** It can be applied to indices (NIFTY, BankNIFTY), large-cap stocks, and even sectors — anything liquid with clean daily swings.

What swing trading is not

- It is **not** day trading — you hold overnight, so you must be comfortable with *gap risk* (price opening far from where it closed).
- It is **not** a guarantee — swing setups fail often; the edge is in the *risk-reward ratio* (cutting losses fast, taking profits at targets), not in being right most of the time.
- It is **not** prediction — a swing trader reacts to *structure* (levels, trend, extremes), not to forecasts about where the market "should" go.

Summary

- Swing trading captures multi-day to multi-week moves — the middle timeframe.
- It harnesses both momentum (continuation) and mean reversion, matched to the market's regime.
- Every trade has four parts: setup, entry, stop, target — defined risk, defined reward.
- It suits people who want active trading without being glued to the screen.
- It carries gap risk and requires discipline, not prediction.

Next: the toolkit — the few tools every strategy in this book uses.

2. The Swing Trader's Toolkit

A small, sharp toolset

Swing trading rewards a *few* tools used well over a *wall* of indicators. Every strategy in this book uses only the following. Learn these once, and each strategy chapter becomes a matter of *combination*, not *definition*.

Price levels: support and resistance

Support is a price level where buying has historically overwhelmed selling — a floor. **Resistance** is a level where selling has overwhelmed buying — a ceiling. They are the most fundamental concept in swing trading, because they define *where swings start and end*:

- A swing **up** often starts at support and ends at resistance.
- A swing **down** often starts at resistance and ends at support.

Key facts about levels:

- **Levels flip roles.** Broken resistance often becomes support (and vice versa) — the basis of the "breakout and retest" trade (Chapter 5).
- **Levels are zones, not lines.** A "level" is really a *zone* of a few points/percent, because the market rarely respects a single exact price.
- **The more times a level is tested, the more meaningful it is** — but also the more likely it is to eventually break.

Moving averages: dynamic support and trend

A **moving average** (the average of the last N closes) acts as *dynamic* support or resistance, rising and falling with the trend. In swing trading the common uses are:

- The **20-period EMA** as dynamic support in an uptrend (the pullback magnet in Chapter 4).
- The **50- and 200-day MAs** as the trend context — above = uptrend, below = downtrend.

An average that is **sloping** is meaningful (it shows trend); a flat average is just noise.

Oscillators: measuring the extreme

Oscillators measure whether price is stretched to one side, and are the engine of mean-reversion swings:

- **RSI (Relative Strength Index)** — bounded 0–100; values above ~70 are "overbought," below ~30 "oversold." Crucially, *overbought/oversold only means "likely to pause" in a range* — in a

strong trend, RSI can stay extreme for a long time.

- **RSI-2** — a short, 2-period RSI used in the specific mean-reversion strategy in Chapter 7 (documented by Connors & Alvarez).

The discipline with oscillators: **use them in ranges and at extremes, not blindly in trends.** An overbought reading in an uptrend is often just *strength*, not a sell signal.

Volume: confirmation

Volume confirms a move. A breakout on rising volume is more trustworthy than one on thin volume; a reversal off support is more meaningful when buyers step in with size. Volume is rarely a standalone signal in swing trading, but it is a useful *filter*: the best setups are confirmed by participation.

Candlesticks: the entry trigger

Candlesticks (open, high, low, close per period) provide the *trigger* — the moment a setup becomes a trade. The patterns a swing trader cares about are few:

- **Reversal candles** — a candle that shows the prior move losing momentum: a long lower shadow off support (buyers rejected the lows), an engulfing candle, a hammer/doji.
- **Continuation confirmation** — a strong-bodied candle closing through a level.

The candlestick is the *finger on the trigger*; the level, trend, or extreme is what makes it *mean something*.

Trend structure: higher highs and higher lows

Finally, the conceptual glue: an uptrend is a sequence of **higher highs (HH) and higher lows (HL)**; a downtrend is **lower lows (LL) and lower highs (LH)**. This simple structure underlies everything:

- An uptrend is "alive" as long as it keeps making higher lows.
- A trend is "broken" when price makes a **lower low** (in an uptrend) — the point at which continuation strategies stand aside and reversion traders take over.

Reading HH/HL/LL/LH structure is the single most valuable skill in swing trading, and it is the entire subject of the next chapter.

Summary

- Support/resistance are the levels where swings begin and end; they flip roles and are zones, not lines.

- Moving averages (20 EMA, 50/200) are dynamic support and the trend context.
- Oscillators (RSI, RSI-2) measure extremes — use them in ranges, not blindly in trends.
- Volume confirms; candlesticks trigger.
- Trend structure (HH/HL/LL/LH) is the underlying read that ties it all together.

Next: the crucial question — is the market trending or ranging?

3. Reading Trend Structure: Trending or Ranging?

The decision that precedes every trade

Before any strategy, the swing trader must answer one question: **is this market trending or ranging?** The answer chooses *which* strategy to use — because the two families (continuation and reversion) are optimised for opposite conditions, and using the wrong one is the fastest way to lose money.

The two regimes

- **Trending:** price moves persistently in one direction, making higher highs and higher lows (uptrend) or lower lows and lower highs (downtrend). **Continuation strategies win** (Chapters 4–6); reversion strategies get run over.
- **Ranging (consolidation):** price oscillates between a support floor and a resistance ceiling, making roughly equal highs and lows. **Reversion strategies win** (Chapters 7–8); continuation strategies whipsaw.

The catch: **markets spend a great deal of time ranging.** Trend-followers know this — that is why they expect many small losses and a few big winners. Swing traders, by contrast, have the luxury of *choosing the right tool for the regime* — but only if they can read the regime.

How to read the regime

Three simple, visual checks:

1. The structure test

Look at the last several swing highs and swing lows:

- **Uptrend:** higher highs *and* higher lows.
- **Downtrend:** lower lows *and* lower highs.
- **Range:** horizontal highs and horizontal lows, price bouncing between two levels.

If the highs and lows are *stair-stepping* in one direction, it is a trend. If they are *sideways*, it is a range.

2. The moving-average test

- Price **above a rising 50-day MA** = uptrend.

- Price **below a falling 50-day MA** = downtrend.
- Price **chopping around a flat 50-day MA** = range.

A *sloping* average is the tell: a flat average means no trend.

3. The time test

- If price has been stuck between two visible levels for **many weeks**, it is a range.
- If price has been making progress in one direction for weeks, it is a trend.

The longer and tighter the range, the more energetic the eventual breakout — and the more dangerous it is to fade the edges blindly.

Matching the strategy to the regime

Regime	Use	Avoid
Uptrend	Pullback continuation (Ch 4), breakout & retest (Ch 5), new-high momentum (Ch 6)	Range fade (Ch 8), blind RSI-2 shorts
Downtrend	Short-side continuation (mirror of Ch 4–6), or stand aside	Range fade longs, dip-buying
Range	RSI-2 mean reversion (Ch 7), range fade (Ch 8)	Breakout/continuation (whipsaw)

Two honest notes:

1. **Downtrends are asymmetric in India.** Retail investors can *sell* what they own or use index shorts/puts, but the clean, liquid short-side is harder to access than the long side. Many Indian swing traders therefore simply **stand aside in downtrends** — which is itself a valid and profitable decision.
2. **Regimes change.** The single most dangerous moment is the *transition* — a range that is about to break out, or a trend that is about to reverse. At transitions, both strategy families look wrong at first. The discipline is to recognise the transition and *trade smaller or not at all* until the new regime confirms.

A practical routine

Before every trade, in 30 seconds:

1. Pull up a daily chart.
2. Ask: are the highs and lows stair-stepping or sideways?
3. Glance at the 50-day MA: sloping or flat?
4. Label the regime: **uptrend, downtrend, or range.**
5. Choose the strategy family that matches — or stand aside if uncertain.

This routine, repeated thousands of times, is the difference between a trader who *adapts* and one who *hopes*.

Summary

- Trending = HH/HL or LL/LH; ranging = sideways between two levels.
- Read it via structure, the slope of the 50-day MA, and the time test.
- Continuation strategies suit trends; reversion strategies suit ranges.
- Downtrends are asymmetric in India — standing aside is valid.
- The transition between regimes is the most dangerous moment; trade smaller or not at all.

Next: Strategy 1 — the pullback continuation.

4. Strategy 1 — The Pullback Continuation

Buying the dip in an uptrend

The pullback continuation is the workhorse of trend-following swing trading. In an established uptrend, price routinely pulls back toward a rising moving average before resuming — and that pullback is a *pause*, not a reversal. This strategy buys the pause, in the direction of the trend.

The idea

Trends advance in waves: up, small retreat, up again. The retreat (the **pullback**) is healthy — it shakes out weak holders and gives new buyers a lower entry. The pullback strategy formalises the oldest rule in trend trading: **in an uptrend, buy the dip; do not fight the trend.**

Because the strategy only trades *with* the trend, it enjoys a relatively high win rate — at the cost of occasionally missing a move (in a strong trend, price may not pull back to the entry level at all).

The rules

Universe and timeframe: liquid stocks or index instruments. Daily timeframe.

Step 1 — Confirm the uptrend. Price must be **above a rising longer-term MA** (the 50-day is standard), and ideally making higher highs and higher lows.

Step 2 — Wait for the pullback. Price pulls back **toward the 20-day EMA** (the classic magnet) — a shallow, orderly retracement, *not* a collapse. The uptrend (50-day MA) must remain intact throughout.

Step 3 — Enter on the resume. Enter when the pullback shows a **reversal back up** — a bullish reversal candle off the 20-day EMA, or a close back above a short-term level. The candlestick is the trigger; the moving average is the context.

Step 4 — Stop. Place the stop **below the pullback low** (the lowest point of the retracement). If price falls below that low, the pullback was the start of a reversal, not a pause — exit.

Step 5 — Target. The natural target is the **prior swing high** (the high before the pullback), or a measured move beyond it. Take profit there; the strategy is about capturing one swing, not riding a trend forever.

Historical context

"Buy the pullback in an uptrend" is one of the most durable and widely practised techniques in trading, and it is the practical expression of *trend continuation* — the documented tendency of intact trends to resume after pauses. Its logic is the same momentum persistence that underlies the momentum factor, applied to the multi-day timeframe. (It is the mirror image of fading a move: the same pullback that a continuation trader *buys* is what a reversion trader *fades* — the regime call from Chapter 3 decides who is right.)

A worked example (a liquid NSE stock)

- A stock is in a clear uptrend, above a rising 50-day MA, having climbed from ₹400 to ₹500. The 20-day EMA is at ₹475 and rising.
- The stock **pulls back over a week to ₹478**, touching the rising 20-day EMA. The 50-day MA is still sloping up — uptrend intact.
- A **bullish reversal candle** prints at the 20-day EMA (a long lower shadow — buyers rejected the dip). **Entry** at ₹485.
- **Stop** at ₹468 (just below the pullback low of ₹472). Risk $\approx$ ₹17.
- The trend resumes and the stock rallies toward the prior high. **Target** at ₹500 (the prior swing high) — a modest reward-to-risk of roughly 0.9:1 by that measure alone (₹15 reward against ₹17 risk).

Result: a defined-risk trade in the direction of the trend, entered at a low-risk point near support. The reward-to-risk here is unremarkable if the trade stops exactly at the prior high — pullback trades are often taken specifically because a strong trend runs *past* the prior swing high before the next stall, which is what improves the realised ratio in practice. A trader who requires a better *stated* R:R before entry should look for a pullback with more room to the prior high, or trail the stop past the first target instead of taking it mechanically.

Risks and limitations

- **Trend failure.** The defining risk: the "pullback" is actually the start of a reversal. The stop below the pullback low converts this into a small, defined loss — but in a genuine reversal, the loss is taken, not avoided.
- **Missing entries.** In strong trends, price may not reach the 20-day EMA, and the trader waits (or misses the move). This is the cost of demanding a better price.
- **Judgement required.** "Uptrend intact" and "reversal candle" are partly discretionary; the strategy needs written rules to stay consistent.
- **False reversals.** A reversal candle can fail; the stop is the final arbiter, and some failed entries are inevitable.

Summary

- Buy pullbacks to the rising 20-day EMA within an uptrend (above the rising 50-day MA).
- Enter on a reversal candle; stop below the pullback low; target the prior swing high.
- High win rate, low-risk entry — but requires an existing trend and discipline.
- The mirror of fading; the trend-vs-range call decides which side you are on.

Next: Strategy 2 — the breakout and retest.

5. Strategy 2 — The Breakout and Retest

The second, safer chance to enter a breakout

A breakout — price moving decisively through a resistance level — is a classic momentum signal, but buying the breakout itself is risky: breakouts often fail, and entering *into* the move means buying at the worst possible price. The **breakout and retest** strategy waits for a second, safer chance: after the breakout, price often **pulls back to retest the broken level** (now turned support) before continuing. That retest is the entry.

The idea

The key concept is **role reversal**: when a resistance level is broken, it flips to become *support*. The logic is that the buyers who were trapped *above* the old resistance, and the sellers who sold *at* it, both now have reason to act at that level — creating a natural floor. A clean retest of the flipped level that *holds* is powerful confirmation that the breakout is genuine.

The strategy's appeal is a better entry: you buy **at the broken level** (near support), not at the breakout high — so the stop is tight and the reward-to-risk is favourable. The trade-off is that not every breakout *retests*; some just run away, and the trade is missed.

The rules

Universe and timeframe: liquid stocks or index instruments, daily timeframe.

Step 1 — Identify a resistance level. A clearly defined horizontal level that has been tested at least twice (the more touches, the more meaningful).

Step 2 — Wait for the breakout. Price **closes above the resistance** on rising volume (volume confirms genuine participation, not a head-fake).

Step 3 — Wait for the retest. Price pulls back **toward the broken level** (the new support). This retest often comes over a few days.

Step 4 — Enter on the hold. Enter when the retest **holds** — a bullish reversal candle at the flipped level, or a close back above it. The level that was once resistance now supports.

Step 5 — Stop. Place the stop **below the retest low** (below the broken level). If price falls back *through* the level, the breakout has failed — exit.

Step 6 — Target. A **measured move**: project the height of the prior range (resistance – support) *upward* from the breakout level. Alternatively, the next resistance above.

Historical context

The "breakout, then retest, then resume" sequence is one of the most widely documented patterns in technical trading, and it is fundamentally the same momentum-persistence idea as the other continuation strategies: a genuine breakout (new strength) is more likely to continue than to fail, and the retest is simply a *better entry* into that continuation. The technique's roots trace to classic price-action writing (the "springboard" / "retest of the breakout level" is a staple of the Wyckoff-style and chart-pattern literature), and it remains a standard swing entry today.

A worked example (an NSE stock)

- A stock has been ranging between **₹200 (support) and ₹250 (resistance)** for months; the ₹250 level has been tested three times.
- On strong volume, the stock **closes at ₹258** — a breakout through ₹250.
- Over the next four days, price **pulls back to ₹251**, retesting the broken ₹250 level.
- At ₹251, a **bullish reversal candle** prints (buyers step in at the old resistance). **Entry** at ₹255.
- **Stop** at ₹244 (below the retest low and the ₹250 level).
- **Target:** the range height is ₹50 ($250 - 200$), so the measured target is $250 + 50 = \text{₹300}$.

Result: the trader entered *near support* at ₹255 (not at the ₹258 breakout high), with a tight stop, targeting a measured move to ₹300.

Risks and limitations

- **Failed retest.** The retest sometimes *does not hold* — price falls back through the level, and the trade stops out. This is the strategy's cost: some "breakouts" are false, and the retest is what reveals it.
- **No retest happens.** In strong breakouts, price may never pull back, and the trade is missed. The strategy sacrifices some winners for better entries on the ones it takes.
- **Loose levels.** A "level" is a zone; entering too precisely can lead to getting stopped by normal noise. Use a zone and a buffer.
- **Market dependence.** Breakouts (and their retests) succeed far more often in an uptrend than a downtrend; the broad-trend context still matters.

Summary

- Wait for a breakout, then buy the retest of the broken level (now support).
- Enter on a reversal candle at the flipped level; stop below the retest low; target a measured move.
- A safer entry than buying the breakout itself, at the cost of missing breakouts that never retest.
- Role reversal — broken resistance becomes support — is the core concept.

Next: Strategy 3 — the new-high momentum trade.

6. Strategy 3 — The New-High Momentum Trade

Buying strength itself

The new-high momentum trade is the most aggressive of the continuation strategies: it buys a stock making a **new high** (a 52-week high, or a multi-month high) and rides the subsequent momentum, rather than waiting for a pullback. It is the swing-trading application of the documented 52-week-high momentum effect.

The idea

Conventional wisdom says a stock at a new high is "too high." The evidence says the opposite: stocks at or near their 52-week highs have historically been *strong*, not overpriced — because the forces that pushed them to new highs (earnings, news, institutional accumulation) tend to persist. The new-high trade buys that persistence directly.

The psychological foundation is **anchoring and under-reaction**: investors are slow to update their view of a stock that has broken above everything they remember, so the move is not fully priced and has room to continue.

The rules

Universe and timeframe: liquid stocks (or indices) with a genuine catalyst — the strategy works best on names showing real strength, not sleepy ones. Daily timeframe.

Step 1 — Identify the high. A stock is at or near its **52-week high** (or a clearly significant multi-month high).

Step 2 — Wait for the breakout. Enter when the stock **closes at a new high** — ideally on **rising volume** (participation confirms the move). Some traders add a small confirmation margin (close a little *above* the prior high) to avoid intraday head-fakes.

Step 3 — Stop. Place the stop a defined distance below entry — e.g., a close below the **prior high** (the breakout level), or a fixed 6–10% stop, or below a short-term MA (the 10-day low). The stop's job is to exit fast if the breakout fails.

Step 4 — Target. New-high momentum has no obvious resistance above (that is the point), so the exit is usually **trailing** — e.g., a close below the 10-day or 20-day low, or a fixed time stop (exit after N days if the move has not continued). Letting the winner run is the source of the edge.

Position sizing: because this is a breakout with no support beneath, keep the risk per trade small (the standard 1–2%).

Historical context

The empirical basis is the same George & Hwang (2004) finding used in the momentum-investing book: nearness to the 52-week high is one of the most robust momentum signals in the literature. Applied at the swing timeframe, it becomes a "buy strength and trail" trade. The honest caveat is the same: *historically, stocks breaking to new highs have tended to continue outperforming — but individual breakouts fail often, so the stop and diversification are what make it survivable.*

A worked example (an NSE stock)

- A large-cap stock, after a long base, **closes at ₹1,120 — a new 52-week high** — on volume $1.5\times$ its average. **Entry** at ₹1,120.
- **Stop** placed at ₹1,045 (a close below the prior-high/breakout zone, $\sim 7\%$ risk).
- The stock trends for five weeks, reaching ₹1,380, making higher highs throughout.
- A pullback then closes the stock **below its 20-day low at ₹1,290** — the trailing exit fires. **Exit** at ₹1,290.

Result: entry ₹1,120 $\rightarrow$ exit ₹1,290 = **+15%**, captured by buying strength and trailing the stop — with a defined risk of $\sim 7\%$ if the breakout had failed.

Risks and limitations

- **High failure rate.** Many new-high breakouts reverse immediately. The win rate is low; the edge comes from the occasional big winner *outweighing* the many small losses. This demands strict stops and small position sizing.
- **Gap risk.** A stock gapping up to a new high on news can reverse the same day; buying *into* the gap is riskier than a clean close above the level.
- **Trailing-exit discipline.** The strategy only works if winners are *not* cut early; a trailing exit (not a fixed profit) is essential, and it is psychologically hard (Chapter 10).
- **Market dependence.** New highs succeed far more often in a rising market; a broad-market filter improves the odds materially.

Summary

- Buy closes at new 52-week (or significant) highs on rising volume.
- Stop below the breakout level or a fixed %; exit on a trailing stop, not a target.
- Grounded in the George & Hwang (2004) 52-week-high momentum effect.
- Low win rate, large winners — strict stops and small size are non-negotiable.

Next: Strategy 4 — RSI-2 mean reversion, the first of the two *reversion* strategies.

7. Strategy 4 — RSI-2 Mean Reversion

Fading the short-term extreme

The first three strategies were *continuation* — they buy strength and follow the trend. This chapter switches to the second engine of swing trading: **mean reversion**. The RSI-2 strategy buys when a stock is *short-term oversold* and expects a snap-back. It is the most famous documented short-term mean-reversion system.

The idea

Markets overshoot. In the short run, a sharp sell-off often pushes a stock *too far, too fast* — and prices tend to **snap back** toward the average, even if the longer-term trend is down. The RSI-2 strategy captures these bounces.

The key instrument is the **2-period RSI (RSI-2)** — an *extremely* short-term oscillator that flips to deeply oversold (near 0) very quickly on a sharp drop. The strategy, documented by Larry Connors and Cesar Alvarez in their book *Short Term Trading Strategies That Work*, buys those deeply oversold moments and exits a few days later on the bounce.

The rules

Universe and timeframe: liquid stocks (or liquid index instruments). Daily timeframe.

Step 1 — The long-term trend filter (critical). Only trade in the direction of the longer trend. The classic version: take **longs only when the stock is above its 200-day MA** (an uptrend). In a downtrend, the same setup is used for shorts (or the trade is simply skipped). This filter is *why the strategy works* — buying oversold bounces in an uptrend is high-probability; buying them in a downtrend is catching falling knives.

Step 2 — The trigger. Enter a **long when RSI-2 closes below 5** (some use below 10), signalling a deeply oversold short-term extreme.

Step 3 — Exit. Exit when price **closes above the 5-day MA** (the classic rule), or after a fixed number of days (e.g., 2–5), or at a fixed small profit target. The trade is a *short* bounce, held only days.

Step 4 — Stop. A stop below the entry day's low (or a fixed small percentage), for the times the bounce does not come.

Position sizing: standard small risk per trade; the strategy trades frequently, so costs matter.

Historical context

Connors and Alvarez published extensive historical results for RSI-2 mean reversion across US equities, showing that a simple "buy RSI-2 < 5, exit above the 5-day MA" rule — *crucially, filtered by the 200-day trend* — produced a high win rate over many years. The mechanism is well understood: short-term liquidity-driven overshoots revert, and the trend filter keeps the trader from fighting a genuine downtrend. The pattern generalises: *short-term extremes tend to revert, especially with the longer-term trend*.

Framed honestly: *historically, buying deeply short-term-oversold conditions in assets above their long-term trend has tended to produce frequent small wins — with occasional larger losses when the "bounce" turns out to be a breakdown, which the stop is there to cap*.

A worked example (a liquid NSE stock)

- A large-cap stock is in an uptrend, trading **above its 200-day MA** at ₹800.
- Over three days it **drops sharply to ₹740** on broad market weakness. Its **RSI-2 closes at 3** — deeply oversold. **Entry** at ₹742.
- The 200-day MA is still well below — the longer trend is intact; this is a dip, not a reversal.
- Over the next three days the stock **bounces and closes above its 5-day MA at ₹775**. **Exit** at ₹775.

Result: entry ₹742 → exit ₹775 = **+4.4% in a few days**, a short, high-probability bounce captured with a defined stop and a mechanical exit.

Risks and limitations

- **Catching falling knives.** Without the 200-day filter, this strategy buys every crash and loses badly. **The trend filter is not optional — it is the strategy.**
- **Frequent small losses.** Bounces sometimes fail; the stop caps each loss, but the strategy can string together several small losers. It relies on a high win rate *with the filter* to stay net positive.
- **Transaction costs.** RSI-2 trades frequently (often holding only days), so brokerage and STT on each round trip matter more than for slower strategies. Run it on liquid names.
- **False confidence in high win rates.** A high win rate can hide a few larger losses; risk per trade must remain small and disciplined.

Summary

- Buy RSI-2 closes below 5 (or 10), exit above the 5-day MA — held only days.
- The 200-day trend filter is what makes it work; without it, you are catching knives.
- Documented by Connors & Alvarez; short-term extremes revert.
- High win rate, frequent small trades — costs and stop discipline matter.

Next: Strategy 5 — the range fade.

8. Strategy 5 — The Range Fade

Selling the edges of the box

The range fade is the purest mean-reversion strategy: in a market that is clearly **range-bound**, it buys at support and sells at resistance — *fading* (trading against) each move toward the edges of the range. It is the natural complement to the continuation strategies: it makes money precisely in the conditions where they whipsaw.

The idea

A ranging market oscillates between two well-defined levels. Near the **top** of the range, buyers have exhausted themselves and price is likely to fall back; near the **bottom**, sellers have exhausted themselves and price is likely to bounce. The range fade simply **buys the bottom edge and sells the top edge**, repeatedly, as long as the range holds.

The logic is mean reversion at its cleanest: *extremes within a bounded structure tend to revert to the middle*. The entire risk is that the range **breaks** — and one large loss from a breakout must not be allowed to erase many small wins.

The rules

Universe and timeframe: liquid stocks or index instruments, daily timeframe.

Step 1 — Identify a clear range. Price must be **visibly range-bound**: a horizontal support floor and resistance ceiling, each tested at least twice, price bouncing between them for several weeks. A flat 50-day MA confirms "no trend."

Step 2 — Enter at the edge. - **Long:** near the **support** floor, ideally with a reversal candle (buyers stepping in). - **Short / exit long:** near the **resistance** ceiling, ideally with a reversal candle (sellers stepping in).

Step 3 — Stop. Just **outside the range**: for a long, below support; for a short, above resistance. The stop's job is to exit the moment the range *breaks* — because a broken range becomes a trend, and the fade must not fight it.

Step 4 — Target. The **opposite edge** of the range (or its middle). Take profit there; the strategy is harvesting the oscillation, not predicting a breakout.

Position sizing: small per trade, because the win rate is decent but the *occasional breakout loss* is the risk that dominates.

Historical context

Range fading is the oldest mean-reversion trade there is — the practical expression of the observation that, in the absence of a trend, prices oscillate around a mean and revert at the edges. It is the mirror image of breakout trading: the same level that a breakout trader *buys through* is the level a range fader *sells into*. Neither is right or wrong in the abstract; the market's **regime** (Chapter 3) decides which one pays. The strategy is as old as support-and-resistance itself, and it remains a staple precisely because markets spend so much time ranging.

Framed honestly: *historically, in clearly range-bound conditions, fading the edges of the range has tended to produce frequent small wins — punctuated by occasional large losses when the range breaks, which the stop is there to cap.*

A worked example (BankNIFTY or a liquid stock)

- A stock has been ranging between **₹500 (support)** and **₹560 (resistance)** for two months, each level tested three times. The 50-day MA is flat.
- Price falls to **₹505** and prints a **bullish reversal candle** (a hammer — buyers rejected the dip). **Entry** at ₹510 (long).
- **Stop** at ₹492 (just below the ₹500 support floor).
- Price rallies toward the top of the range. At **₹555**, near resistance, a **bearish reversal candle** prints. **Exit** at ₹552.

Result: entry ₹510 → exit ₹552 = **+8.2%**, harvesting one full oscillation of the range with a stop that capped the risk if support had broken.

Risks and limitations

- **The breakout loss.** The defining risk: the range breaks, the fade is wrong, and the stop exits at a loss. The *many small wins* must outweigh the *occasional breakout loss* — which requires strict stops and small size, not cleverness.
- **False range reads.** A market that *looks* like a range may actually be a trend consolidating before continuation. Fading it then means fighting the trend. The flat-50-day-MA check and clear double-tested levels are the guards.
- **Erosion at the edges.** Repeated fades at the same edge become increasingly risky — the more a level is tested, the more likely it is to break. Some traders reduce size on later tests.
- **Costs and patience.** The strategy trades repeatedly for small gains; costs and the discipline to take the small win matter.

Summary

- In a clear range, buy support and sell resistance, fading the edges.
- Stop just outside the range; target the opposite edge.

- The mirror of breakout trading; the regime call decides which pays.
- Many small wins, occasional breakout loss — strict stops and small size are essential.

Next: trade plans and risk management — turning any strategy into a repeatable process.

9. Trade Plans and Risk Management

Turning a setup into a repeatable process

A strategy is a set of ideas; a **trade plan** turns it into a repeatable, checkable process. This chapter covers the two things that separate profitable swing traders from everyone else: the **written plan**, and the **risk arithmetic** that keeps them alive.

The written trade plan

Every trade, before it exists, should be written down with these six fields. The act of writing is what forces the thinking.

1. **Setup** — which strategy, and the specific condition (pullback to the 20 EMA, breakout of ₹250, RSI-2 below 5, etc.).
2. **Entry** — the exact trigger (close above the level, reversal candle at the MA).
3. **Stop** — the price that proves the setup wrong (below the pullback low, below the retest low, below the range floor).
4. **Target** — where the swing is likely to exhaust (prior high, measured move, opposite range edge, or the trailing rule).
5. **Size** — the position size, computed from the stop distance (below).
6. **Invalidation** — the conditions under which the plan is abandoned *before* the stop (e.g., the trade becomes invalid if a major event intervenes).

A plan this explicit does three jobs: it removes emotion from the decision, it makes the risk *known in advance*, and it makes the trade *reviewable* afterward — which is how a trader improves.

The risk arithmetic: reward-to-risk

The central number in swing trading is the **reward-to-risk ratio (R:R)**:

$$R:R = (\text{Target} - \text{Entry}) \div (\text{Entry} - \text{Stop})$$

It measures how much you stand to gain for every unit you risk. The discipline of swing trading is built on it:

- A trade risking ₹10 to make ₹30 is a **3:1** trade.
- A **3:1** trade needs to win only ~**25%** of the time to break even.
- A **1:1** trade needs to win ~**50%** of the time.

This is why swing trading works with a *modest* win rate: **you do not need to be right most of the time — you need to win enough on the winners to pay for the losers.** The pullback,

retest, and range-fade strategies all aim for favourable R:R precisely so that the maths works in your favour.

The corollary is unforgiving: **if you cut winners early and let losers run, you invert the R:R — and no strategy can save you.** Protecting the ratio (cut losers fast, hold to targets) is the whole game.

Position sizing: risk 1–2% per trade

The formula from the other books applies unchanged:

Position size = (Account × Risk %) ÷ (Entry – Stop)

Risking **1–2%** of the account per trade means **no single loss — and no losing streak — can meaningfully damage the account.** For swing trading, where a string of stopped-out trades is normal, this is not a suggestion; it is the load-bearing rule. A trader who risks 1% can survive ten consecutive losses (down ~10%) and keep trading; a trader who risks 10% is ruined by the same streak.

The risks specific to swing trading

Gap risk (the overnight risk)

Swing traders hold overnight, so positions are exposed to **gaps** — price opening far from the previous close on news or a global shock. A gap can jump *past* the stop, producing a larger-than-planned loss. Defences:

- **Size for the worst plausible gap**, not just the stop distance.
- **Avoid oversized positions through binary events** (earnings, budgets, policy decisions) on the underlying.
- Accept that the stop is a *limit*, not a *guarantee*.

The losing streak

Every strategy has streaks of consecutive losses — continuation strategies whipsaw in ranges; reversion strategies get run over at breakouts. The defence is **survival**: a 1% risk per trade turns a 10-loss streak into a survivable 10% drawdown, after which the winners can resume.

The transition risk

The most dangerous moment is a **regime change** — a range breaking into a trend, or a trend reversing. Both families of strategy look wrong at the transition. The defence is the regime discipline of Chapter 3: when the regime is ambiguous, **trade smaller or not at all.**

Portfolio-level discipline

Beyond the individual trade:

- **Limit total open risk.** A handful of open positions each risking 1% is fine; ten correlated positions all long the same market is one oversized bet.
- **Know your net exposure.** If every position is long and the market is below its 200-day MA, the whole book is a single bet against the trend — reduce it.
- **Review, don't rationalise.** After each closed trade, check the plan against what you actually did. The gap between them is where improvement lives.

Summary

- Write a six-field plan (setup, entry, stop, target, size, invalidation) before every trade.
- Reward-to-risk is the core arithmetic: a 3:1 trade breaks even at 25% wins.
- Risk 1–2% per trade; size from the stop distance.
- Gap risk, losing streaks, and regime transitions are the specific dangers — survive them with small size and regime discipline.
- Review every trade against its plan.

Next: the final chapter — the psychology of holding multi-day positions.

10. Psychology and Common Mistakes

The discipline between the entries and the exits

The strategies in this book are public knowledge, and the risk arithmetic is simple. What decides whether a swing trader profits is what happens **between** the entry and the exit — the hours and days of holding, during which every position tests the trader's nerve. This chapter names the traps and the defences.

Why holding is the hard part

Swing trading is psychologically difficult for a specific reason: **it demands patience and inaction at the exact moments the emotions are loudest.**

- A position in **profit** begs to be closed ("take it before it disappears") — but the plan says hold to the target.
- A position in **drawdown** (but not at the stop) begs to be closed ("cut it now") — but the plan says the stop, not the noise, is the exit.
- A stopped-out position begs to be **re-entered** immediately ("get it back") — but the plan says the next trade comes from the next setup.

In every case, the correct action is *nothing* — and the temptation is to *do something*. The trader who can hold through the noise, honour the stop, and wait for the next setup has the edge.

The five classic mistakes

1. Cutting winners early

The whole edge of swing trading is the reward-to-risk ratio — the winners must be allowed to reach their targets. Closing a winner early ("locking in a small profit") takes exactly the trades that pay for the losers. **Defence:** the target (or the trailing rule) ends the trade, not the profit.

2. Moving the stop

A position near its stop gets "just a little more room" — and a small, planned loss becomes a large, unplanned one. **Defence:** the stop is a commitment made in a calm state; it is honoured in the emotional state. The stop *is* the plan.

3. Revenge trading after a stop-out

A stopped-out trade is almost always followed by the urge to re-enter immediately, bigger, "to win it back." This converts one defined loss into an undefined, oversized one — the single most destructive

habit in trading. **Defence:** after a stop, the correct next trade is **no trade**, until a fresh setup presents itself on its own merits.

4. Overtrading the wrong regime

When the market is ranging, continuation strategies whipsaw; when it is trending, reversion strategies get run over. The trader who ignores the regime and trades *more* to "fix" a losing streak is doing the worst thing at the worst time. **Defence:** the regime discipline of Chapter 3 — trade the matching strategy, and trade less (or not at all) when the regime is ambiguous.

5. Confusing one trade's outcome with skill

A single winning trade feels like talent; a single losing trade feels like failure. Both are mostly noise. **Defence:** judge yourself over 30–50 trades, on the *process* (did I follow the plan?) rather than the outcome. A losing trade that followed the plan is a process win.

The practices that work

1. **Write the plan, then follow it.** The written plan (Chapter 9) is a contract with your future, more emotional self.
2. **Set exits at entry.** The stop and target are decided *before* the position exists, when judgment is clean — never adjusted mid-trade.
3. **Trade a defined routine.** Same chart review, same checklist, same time of day. Routine reduces the scope for impulsive decisions.
4. **Accept the losing streak as the cost.** Streaks of stopped-out trades are normal and expected. A trader who accepts them can hold through them; one who fights them will abandon the system at the bottom.
5. **Review, don't rationalise.** After each trade, compare what you did against the plan. The gap is where you improve — and rationalising it away is where you don't.

The honest truth

Every failure mode in this chapter is a way of *abandoning your own plan at the moment it matters most*. Swing trading's edge is real but modest, and it is expressed only across many disciplined trades. The trader who can simply **do what they said they would do** — take the setup, honour the stop, hold to the target, wait for the next one — has an edge that no amount of strategy sophistication can replace. Everything else is detail.

Summary

- The hard part is the *holding* — doing nothing when the emotions are loudest.

- The traps: cutting winners, moving stops, revenge trading, overtrading the wrong regime, confusing luck with skill.
- The defences: a written plan, exits set at entry, a defined routine, accepting losing streaks, reviewing honestly.
- Discipline — not a better strategy — is the actual edge.

This completes the main text. The appendix condenses all five strategies into one reference table.

Appendix — Strategy Quick-Reference Table

This table is a summary, not a substitute for the full chapters. Adjust levels, lookbacks, and stops to your own risk tolerance and universe.

#	Strategy	Family	Setup / entry	Stop	Target / exit	Best regime
1	Pullback continuation	Continuation	Reversal off rising 20-day EMA in an uptrend	Below the pullback low	Prior swing high	Uptrend
2	Breakout & retest	Continuation	Buy the retest of a broken resistance (now support)	Below the retest low	Measured move	Uptrend / new trend
3	New-high momentum	Continuation	Close at a new 52-week high on volume	Below the breakout level / fixed %	Trailing (10/20-day low)	Uptrend
4	RSI-2 mean reversion	Reversion	RSI-2 closes below 5, above 200-day MA	Below the entry-day low	Close above the 5-day MA	Uptrend (dip)
5	Range fade	Reversion	Reversal at support (long) / resistance (short)	Just outside the range edge	Opposite edge of the range	Range

The two families

- **Continuation (1–3):** trade *with* the trend — buy strength, buy pauses, buy new highs. Win rate often lower; winners are larger.
- **Reversion (4–5):** fade *extremes* — buy oversold, fade the range edge. Win rate often higher; winners are smaller.

The universal rules

- **Read the regime first** (trending or ranging) — it chooses the family.
- **Risk 1–2%** per trade; size from the stop distance.
- **Aim for favourable reward-to-risk** (2:1 or better); a 3:1 trade breaks even at 25% wins.
- **Honour the stop; hold to the target** — never invert the ratio.
- **Account for gap risk** — size for the worst plausible open, avoid oversized positions through binary events.